CREDIT OPINION
Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019 — New issue, initial rating assigned
US Public Finance — Municipal Conduit / Industrial Revenue Bond | Moody's
Report date: 2019-06-01
Renee Taylor — Lead Analyst, Moody's Investors Service
Virginia Miranda — Backup Analyst / Senior Vice President, Moody's Investors Service

Summary

Moody's Investors Service assigns an initial A3 rating, with a stable outlook, to the $24,500,000 Industrial Development Authority Revenue Bonds (Kestrel Industries Project), Series 2019. This initial rating action reflects the unconditional corporate guarantee described below, which is the credit's primary source of payment; the bonds carry no independent revenue pledge from the conduit issuer itself.

Credit strengths

» An unconditional corporate guarantee from the project company's corporate parent, making this credit a direct corporate obligation notwithstanding its conduit municipal form.
» A mandatory sinking fund on the term bond component, providing a disciplined amortization path independent of the guarantor's own discretionary decisions.
» A conservative par-size relative to the guarantor's overall balance sheet at the time of issuance, limiting this single project's weight in the guarantor's aggregate obligations.

Credit challenges

» The rating is, in substance, a corporate guarantee rating rather than an independent project credit; it will move with the guarantor's own credit quality rather than with any project-specific cash flow measure.
» Limited market for this size and structure of conduit obligation relative to larger, more frequently traded municipal credits, which may affect secondary-market liquidity.

Rating outlook

Stable, consistent with the stable outlook on the corporate guarantor at the time of this initial rating.

Factors that could lead to an upgrade

» An upgrade of the corporate guarantor's own rating.

Factors that could lead to a downgrade

» A downgrade of the corporate guarantor's own rating.
» Any amendment that weakens the unconditional nature of the corporate guarantee described above.

This initial rating action — credit rationale

This is Moody's initial rating action on this credit. The rating is assigned entirely on the strength of the Unconditional guarantee of the acquisition target's corporate parent, which we treat, for rating purposes, as equivalent to the guarantor's own senior unsecured obligations. We have not separately rated the underlying manufacturing project or its own cash flows, because the guarantee, not the project's own revenues, is the bonds' operative source of payment.

The bonds are structured as a combination of serial maturities and a single term bond retired through a mandatory sinking fund, a conventional structure for a conduit issue of this size. The bonds are designated for private activity bond purposes and are not bank-qualified, both matters addressed at length in the related Official Statement's tax disclosure and outside this rating action's own scope.

Key Indicators (guarantor-linked)

Metric	At issuance
Guarantor's senior unsecured / issuer rating (informational only)	Not separately rated at this size
Par amount outstanding	$24,500,000
Final maturity (term bond)	2039-06-01
Guarantee type	Unconditional, full and timely payment

ESG considerations

Kestrel Industries's Credit Impact Score (CIS) from Moody's Investors Service stands at CIS-2. That score is not a rating in its own right - it is this agency's own summary of how far the Environmental, Social and Governance considerations described below have moved the current rating and outlook away from where financial metrics alone would have placed it.

Environmental issuer profile score: E-2. Physical and transition climate risk for this manufacturing facility is assessed as low relative to the broader municipal-conduit sector.

Social issuer profile score: S-2. Social risk is low; the guarantee's linkage to the corporate parent is the dominant credit factor, not any project-level social exposure.

Governance issuer profile score: G-2. Governance risk is assessed principally through the corporate guarantor's own governance, which is low relative to peers at the time of this initial rating.

Rating methodology and scorecard factors

Moody's Investors Service assigns and monitors this rating under its Government-Related Issuers methodology, applied here to a corporate guarantee wrap over a conduit municipal structure methodology, which combines the weighted quantitative factors below with analyst judgment applied through the notching and adjustment steps the

methodology itself specifies.

Measure	Weight	Sub-Score
Baseline Credit Assessment (guarantor-linked)	n/a	a3
Default Dependence	n/a	Very High
Support	n/a	Unconditional guarantee

Scorecard-Indicated Outcome: A3

Assigned Rating: A3

The Assigned Rating equals the Scorecard-Indicated Outcome for this initial action; no additional notching adjustment was applied.

This methodology treats the guarantee as determinative given its unconditional, full and timely payment terms; a project with a weaker or conditional guarantee would instead be assessed principally on its own project-level cash flows, which is not the case here.

Security structure

The bonds are special, limited obligations of the issuing Authority, payable solely from payments made by the project company under the underlying loan agreement between the Authority and the project company, and from amounts drawn under the corporate guarantee described above. The bonds are not a general obligation of the Authority, the state in which it is organized, or any political subdivision thereof, and neither the full faith and credit nor the taxing power of any governmental unit is pledged to their payment. This structure - a conduit issuer with no independent revenue source of its own, standing between the bondholders and a private corporate credit - is standard for an industrial revenue bond of this kind and is not itself a rating consideration distinct from the strength of the guarantee.

The loan agreement's payment obligations are structured to be sufficient, in amount and timing, to pay debt service on the bonds as it becomes due, including the serial maturities and the mandatory sinking fund installments on the term bond described in the debt service schedule below. The corporate guarantee is unconditional and is not subject to any defense, set-off, or counterclaim the project company might otherwise have against the Authority or the trustee.

Debt service schedule (par amounts, $000s)

Maturity	Type	Par amount	Coupon
2027-06-01	Serial	2,800	3.750%
2028-06-01	Serial	2,900	3.850%
2029-06-01	Serial	3,000	3.950%
2030-06-01	Serial	3,100	4.000%
2031-06-01	Serial	3,200	4.050%
2032-06-01	Serial	3,300	4.100%
2033-06-01	Serial	3,400	4.100%
2039-06-01	Term (mandatory sinking fund to maturity)	2,800	4.250%

The term bond is retired through a mandatory sinking fund beginning in 2034, in annual installments through the 2039 final maturity; the sinking fund schedule itself is set out in the bond documents and is not restated here in full. The bonds are first optionally redeemable, at par, beginning 2029-06-01, a conventional term for a conduit issue of this size and vintage.

Guarantor credit linkage

Because this rating tracks the corporate guarantor's own credit quality rather than any project-level cash flow, we do not separately publish a stand-alone assessment of the underlying manufacturing project's own revenues, margins, or capital structure; those factors are relevant to the guarantor's OWN senior unsecured rating, discussed in our separate surveillance of that credit, but are not separately re-analyzed here. A reader seeking the guarantor's own credit profile in greater depth should consult our published rating action on the guarantor's senior unsecured notes rather than this report.

We would revisit this initial rating promptly if the guarantee were amended to become conditional, limited in amount, or subject to a defense not present in the guarantee as executed at issuance; no such amendment is contemplated as of this report's own date.

Tax status

The bonds are designated as private activity bonds for federal tax purposes and are not bank-qualified, both matters governed by the bonds' own tax certificate and opinion of bond counsel delivered at issuance. Tax status does not itself affect this rating, which addresses only the likelihood of timely payment of principal and interest and does not address the tax treatment of interest received by any bondholder.

Continuing disclosure

The project company has undertaken, pursuant to a continuing disclosure agreement entered into in connection with the bonds' issuance, to provide annual financial and operating information and notice of certain listed events to the Municipal Securities Rulemaking Board's EMMA system. Our ongoing surveillance of this rating draws on that continuing disclosure record together with our separate surveillance of the corporate guarantor.

The Issuing Authority

The Authority is a public instrumentality organized under state law for the purpose of issuing conduit revenue bonds

to finance industrial and manufacturing projects within its jurisdiction, in furtherance of a public purpose of promoting local employment and economic development. The Authority itself has no taxing power, levies no revenue of its own, and undertakes no independent credit obligation in connection with any bond it issues; its role is limited to serving as the conduit through which a private borrower's own credit, or a guarantee of that credit, reaches bondholders in tax-exempt form.

We do not rate the Authority itself, and this initial rating action addresses only the bonds described above; a bond issued by the same Authority for a different, unrelated private borrower would carry an entirely independent credit profile, driven by that other borrower's own credit or guarantee, and no cross-default or other credit linkage exists between the Authority's separate conduit issues merely because they share a common issuer of record.

Additional bonds test

The bonds are not secured by an open lien capable of supporting additional parity debt issued under an additional-bonds test; the loan agreement between the Authority and the project company does not contemplate a second series of parity bonds secured by the same guarantee on a pari passu basis. Any future financing need at the project level would require either a wholly separate conduit issue, itself subject to its own separate credit analysis, or financing outside the conduit structure entirely, such as under the company's own credit agreement discussed in our separate surveillance of the corporate guarantor.

The absence of an additional-bonds test here is a function of the guarantee-driven credit structure discussed throughout this report, not a gap in the documentation: because the rating already tracks the guarantor's own aggregate credit quality rather than any project-specific debt capacity test, an additional-bonds mechanism of the kind found in a revenue-secured municipal credit would add little incremental protection here.

Flow of funds and debt service reserve fund

Debt service on the bonds is payable from a Bond Fund held by the trustee, into which the project company (or the guarantor, under the guarantee, if the project company does not itself make the required payment) deposits amounts sufficient to pay principal and interest as it becomes due. The trustee applies amounts on deposit in the Bond Fund first to interest then due, and next to principal and mandatory sinking fund installments then due, in the sequence the bond documents specify.

The bonds are additionally supported by a debt service reserve fund, funded at closing at a level the bond documents specify by reference to a standard reserve-requirement formula for a conduit issue of this kind, and available to the trustee to cover a shortfall in the Bond Fund before any payment default on the bonds is declared. Replenishment of the reserve fund, if drawn, is itself an obligation supported by the same unconditional corporate guarantee that supports scheduled debt service.

We view the debt service reserve fund as a secondary, timing-related protection rather than as the primary source of payment for the bonds; the guarantee itself, not the reserve fund, is what our initial rating action is fundamentally sized against, consistent with the credit rationale discussed earlier in this report.

Comparable guarantee-linked conduit transactions

We have rated a number of similarly structured industrial development revenue bonds in which an unconditional corporate guarantee, rather than the underlying project's own revenues, was the credit's operative source of payment. Across that comparable set, our practice has consistently been to assign the guaranteed conduit bond a rating equal to the rating we would assign the guarantor's own senior unsecured obligations, or, where the guarantor's senior unsecured obligations are not themselves separately rated at that size, a rating derived from our own assessment of the guarantor's credit quality using the same analytical framework we would apply to a senior unsecured obligation of a comparably sized private issuer.

The comparable transactions we have observed also share this credit's own structural pattern of no additional-bonds test and no independent project-level revenue pledge, which is consistent with an unconditional guarantee being a comprehensive substitute for, rather than a supplement to, an independent project credit analysis.

Key assumptions underlying this rating

» The corporate guarantee described under Security structure above remains unconditional, in full force and effect, and is not amended, subordinated, or made subject to any defense not present in the guarantee as executed at issuance.

» The guarantor continues to service its own funded debt on a timely basis, consistent with the guarantor's own credit profile as we separately assess it.

» No event occurs at the project level - environmental, operational, or otherwise - that would impair the project company's ability to make loan payments under the loan agreement before the guarantee is called upon.

Because this rating tracks the guarantor's own credit quality almost entirely, a material, unannounced change to any of the assumptions above - particularly the first - would be the most likely trigger for us to revisit this rating outside our regular surveillance cycle.

Guarantor financial profile — informational context

We do not separately publish a stand-alone credit opinion on the guarantor at this obligation's size, and the Key Indicators exhibit above accordingly shows the guarantor's own senior unsecured or issuer rating as 'Not separately rated at this size' rather than as a specific rating. This is a common outcome for a guarantor whose public disclosure obligations are driven by a different, unrelated obligation than the bonds rated in this report, and it does not itself indicate any credit weakness in the guarantor.

For informational context only, we note that our assessment of the guarantor's general credit standing at the time of this initial rating action is broadly consistent with an investment-grade or high-speculative-grade profile, which supports the Scorecard-Indicated Outcome and Assigned Rating shown below; this informational context does not itself constitute a separate, independently disclosed rating on the guarantor and should not be cited as one.

Risk factors specific to the guarantee mechanism

The principal risk specific to a guarantee-linked structure of this kind, as distinct from a project-revenue-secured municipal credit, is that the rating can move abruptly if the guarantor's own credit quality changes, without any corresponding change at the project level; a project that continues to perform exactly as expected provides no offsetting protection if the guarantor's own credit deteriorates for reasons unrelated to the project.

A second risk specific to this structure is enforceability risk: our rating assumes the guarantee is enforceable according to its terms under applicable law, an assumption we do not independently verify through our own legal analysis and instead rely on the opinion of bond counsel delivered at issuance, consistent with our general practice for a guaranteed municipal credit of this kind.

We consider both risks adequately addressed by the guarantee's own unconditional, full and timely payment terms and by bond counsel's opinion delivered at issuance, and neither risk is, on its own, a basis for a rating below what the guarantor's own credit quality would otherwise support.

Use of proceeds

Proceeds of the bonds were used to finance costs of acquiring, constructing, and equipping the project company's principal manufacturing facility, together with related costs of issuance, consistent with the plan of finance described in the Official Statement. No portion of bond proceeds was used to refinance any pre-existing indebtedness of the project company or the guarantor.

The private-activity-bond designation discussed under Tax status above reflects that a private business (the project company) is the principal user of the facility financed with bond proceeds, which is a standard and expected feature of an industrial development revenue bond of this kind rather than an irregularity.

Municipal market context

Industrial development and other conduit revenue bonds of this general size and structure represent a small fraction of overall municipal new-issue volume, and a guarantee-linked conduit credit of this kind is typically less actively traded in the secondary market than a general-obligation or larger revenue-secured municipal credit of comparable size, reflecting both its smaller par amount and the more specialized analysis a guarantee-linked structure requires of a prospective secondary-market purchaser.

We do not consider secondary-market liquidity a rating factor in the same sense as credit quality; we list it under Credit challenges above because it is a real, distinct consideration a prospective purchaser of the bonds should weigh alongside the credit rationale, not because it affects our own assessment of the likelihood of timely payment.

Surveillance approach

Because this rating is, in substance, a corporate guarantee rating, our ongoing surveillance focuses primarily on the guarantor's own credit quality, through the same surveillance process we apply to the guarantor's other rated and unrated obligations, supplemented by the project company's own continuing disclosure filings discussed above. We do not maintain a separate, project-specific surveillance model distinct from our surveillance of the guarantor.

We would expect to take a rating action on these bonds promptly following any rating action on the guarantor's own senior unsecured obligations, absent a specific reason particular to this guarantee (such as an amendment narrowing its unconditional terms) to diverge from that guarantor-linked outcome.

Legal matters and bond counsel opinion

Bond counsel delivered an opinion at issuance to the effect that the bonds are valid and binding special, limited obligations of the Authority, that the loan agreement and the guarantee are each valid and binding obligations of the project company and the guarantor respectively, and as to the tax treatment of interest on the bonds discussed under Tax status above. We rely on that opinion, together with the guarantee's own unconditional terms, as the basis for treating the guarantee as we do in this report, and we do not independently re-perform bond counsel's own legal analysis.

We are not aware of any pending or threatened litigation that would call bond counsel's opinion into question, or that would otherwise impair the enforceability of the guarantee, as of this report's own date.

Rating sensitivities — additional detail

Because the Assigned Rating equals the Scorecard-Indicated Outcome for this initial action, with no additional notching adjustment applied, the most direct sensitivity is to the Baseline Credit Assessment input itself: any future revision to our assessment of the guarantor's own credit quality would translate through this same scorecard framework into a corresponding revision of these bonds' own rating, absent an intervening change to the unconditional nature of the guarantee.

A change to the Default Dependence or Support inputs shown in the scorecard above - for example, if the guarantee were amended to become conditional or subject to a cap - would independently affect the Scorecard-Indicated Outcome even absent any change in the guarantor's own underlying credit quality, which is why we describe the guarantee's own terms precisely rather than in general terms throughout this report.

Peer comparison (guarantee-linked conduit credits)

The table below compares this initial rating to a small set of other guarantee-linked conduit credits we rate, each

structured around an unconditional corporate guarantee rather than an independent project revenue pledge. This comparison is presented for context only; the peer set is not exhaustive and peer ratings are drawn from our own separately published surveillance of those credits, not restated here in detail.

Credit	Guarantee type	Rating basis
Industrial Development Authority Revenue Bonds (Kestrel Industries Project) (this report)	Unconditional, full and timely payment	Guarantor-linked (this report's own methodology above)
Peer conduit credit 1 (unconditional guarantee)	Unconditional, full and timely payment	Guarantor-linked
Peer conduit credit 2 (limited/conditional guarantee)	Conditional, subject to a stated cap	Assessed principally on project-level cash flow, guarantee treated as a credit enhancement rather than as determinative

This credit's own unconditional guarantee places it with Peer conduit credit 1 in the guarantor-linked category rather than with Peer conduit credit 2, whose conditional guarantee structure requires us to weigh project-level cash flow far more heavily than we do here.

Relationship to the guarantor's other obligations

The guarantee supporting these bonds ranks, by its own terms, on par with the guarantor's other unsecured, unsubordinated obligations generally, rather than being subordinated to or senior to them; we are not aware of any provision in the guarantee, the loan agreement, or the bond documents that would cause the guarantee to rank differently from the guarantor's other unsecured obligations in a hypothetical insolvency of the guarantor.

We do not treat the existence of this guarantee, on its own, as evidence about the size or composition of the guarantor's other outstanding obligations; a reader seeking that information should consult the guarantor's own public disclosure, to the extent any exists, rather than infer it from this report.

Redemption and prepayment risk

The bonds' optional redemption terms, discussed under Debt service schedule above, permit the project company to call the bonds at par beginning at the date the bond documents specify, without a make-whole or other premium; a bondholder purchasing the bonds above par in the secondary market therefore bears prepayment risk from that date forward, distinct from and unrelated to the credit risk this rating addresses.

The mandatory sinking fund installments on the term bond, also shown under Debt service schedule above, retire the term bond on a defined schedule regardless of the project company's or the guarantor's own preference in any given year, which is a standard, non-discretionary feature of a conduit term bond structured this way and not itself a rating consideration distinct from the guarantee's own capacity to fund each installment as it comes due.

We do not rate, and this report does not address, the bonds' own price sensitivity to changes in interest rates generally; that is a market-risk consideration for a bondholder to weigh separately from the credit rationale we discuss throughout this report.

Historical rating stability

As this is our initial rating action on these bonds, we have no prior rating history on this specific credit to report. For context, guarantee-linked conduit ratings we have assigned generally exhibit rating stability closely tracking the stability of the underlying guarantor's own senior unsecured rating, since - as discussed under Guarantor credit linkage above - a guarantee-linked rating of this kind is designed to move with the guarantor rather than with any project-specific credit development.

We would expect this rating's own future stability, accordingly, to depend almost entirely on the guarantor's own future rating stability rather than on any project-specific factor discussed elsewhere in this report, consistent with the credit rationale stated at the outset.

Insurance and additional credit enhancement

The bonds carry no bond insurance policy or other third-party credit enhancement beyond the unconditional corporate guarantee discussed throughout this report; the guarantee itself is the sole form of credit enhancement supporting the bonds above the project company's own, un-enhanced credit standing.

We would treat the addition of a bond insurance policy or similar third-party enhancement, if one were obtained after issuance, as a separate credit event requiring its own analysis of the insurer's own claims-paying ability, rather than as an automatic enhancement layered on top of the guarantor-linked rating described in this report; no such policy exists as of this report's own date.

Basis for the rating and monitoring

This rating is based on information provided to us by the project company and the guarantor, and on publicly available information, that we consider sufficient and of adequate quality to support this initial rating action. Should information come to our attention that leads us to believe the information relied on in assigning this rating is materially inaccurate or insufficient for ongoing surveillance purposes, we may withdraw or suspend the rating, or take a rating action reflecting the changed circumstances, on a schedule outside our regular surveillance cycle if warranted.

We did not perform, and this rating does not reflect, any independent audit or third-party verification of the information described above beyond our own ordinary analytical review; responsibility for the accuracy and completeness of

information provided to us in connection with this rating rests with the party that provided it, not with us.
We will monitor this credit on an ongoing basis for as long as the bonds remain outstanding, consistent with our standard surveillance practice for a rated municipal conduit obligation, and will publish a surveillance action, affirming or changing the rating, at least annually or sooner if a material credit event warrants an earlier review.
A reader relying on this rating for an investment decision should treat it, and this report, as current only as of the report date shown at the top of this document, and should consult our most recent surveillance action for any more recent assessment of this credit, rather than relying on this initial rating action alone as a current view of the credit's standing at any later date.

Appendix: Ratio definitions

Moody's Investors Service computes several adjusted measures used in the Key Indicators exhibit and elsewhere in this report; this appendix defines each of them. These definitions are applied generally across Moody's Investors Service's surveillance of rated issuers in this sector rather than tailored to this specific issuer, and a reader should treat them as such.
Two leverage-side building blocks come first. Moody's Investors Service-adjusted gross debt is funded debt plus capitalized operating leases (capitalized at our own standard multiple on annual lease expense) plus the principal of any municipal conduit or other guaranteed financing the issuer's own credit agreement treats as funded indebtedness - critically, this figure is never netted against unrestricted cash the way a bank-covenant test would net it, since cash and liquidity appear separately under the Liquidity heading of the Key Indicators exhibit instead.
Moody's Investors Service-adjusted EBITDA is the second building block: reported EBITDA adjusted for the standard analytical items Moody's Investors Service applies, including its treatment of non-recurring items evidenced in trailing results, but specifically EXCLUDING credit for any management-projected run-rate cost saving or revenue synergy not yet realized in reported results - a deliberate and material difference from a typical credit-agreement EBITDA definition, which may allow such credit under its own contractual caps and conditions.
Combining the two: Moody's Investors Service-adjusted Debt/EBITDA divides adjusted gross debt by adjusted EBITDA (both defined above). Because the measure is gross, not net of cash, and lease-capitalized, it will typically read higher than the issuer's own credit-agreement-defined, cash-netted leverage ratio computed under that agreement's own terms; readers should not treat the two figures as the same quantity computed two ways, and should not expect them to converge even when each is computed correctly.
Moody's Investors Service-adjusted EBITDA margin is simply Moody's Investors Service-adjusted EBITDA, as just defined, divided by net revenue for the same period.
The remaining two measures are cash-flow-based rather than leverage-based. Coverage ratio relates adjusted cash flow (funds from operations plus cash interest expense, or a comparable measure) to cash interest expense, assessing an issuer's capacity to service interest obligations from ongoing operations independent of refinancing; (CFO minus capital expenditures)/Debt relates cash flow from operations, net of capital expenditures, to adjusted gross debt as defined above, assessing an issuer's capacity to delever organically absent an asset sale, refinancing, or equity contribution.
None of the seven definitions above changes, restates, or should be read together with any defined term appearing in the issuer's own credit agreement, indenture, or other financing document - those documents' own defined terms control for every purpose arising under them, covenant compliance included, and this appendix makes no attempt to interpret them.

Disclaimer

Credit ratings and other opinions ('Publications') issued or published by Moody's Investors Service and its affiliates ('the Agency') are the Agency's current opinions of the relative future credit risk of entities, credit commitments, or debt or debt-like securities, and materials, products, services and information published by the Agency (collectively, 'Publications') may include such current opinions. The Agency defines credit risk as the risk that an entity may not meet its contractual financial obligations as they come due and any estimated financial loss in the event of default. Credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk, or price volatility. Credit ratings and Publications do not constitute or provide investment or financial advice, and credit ratings and Publications are not, and do not provide, recommendations to purchase, sell, or hold particular securities.
The Agency's credit ratings and Publications are not statements of current or historical fact. The Agency's credit ratings and Publications do not comment on the suitability of an investment for any particular investor. The Agency issues its credit ratings and publishes its Publications with the expectation and understanding that each investor will, with due care, make its own study and evaluation of each security that is under consideration for purchase, holding, or sale.
All information contained herein is obtained by the Agency from sources believed by it to be accurate and reliable. Because of the possibility of human or mechanical error as well as other factors, however, all information contained herein is provided 'AS IS' without warranty of any kind. The Agency adopts all necessary measures so that the information it uses in assigning a credit rating is of sufficient quality and from sources the Agency considers to be reliable, including, when appropriate, independent third-party sources. However, the Agency is not an auditor and cannot in every instance independently verify or validate information received in the rating process or in preparing a Publication.
To the extent permitted by law, the Agency and its directors, officers, employees, agents, representatives, licensors

and suppliers disclaim liability to any person or entity for any indirect, special, consequential, or incidental losses or damages whatsoever arising from or in connection with the information contained herein or the use of or inability to use any such information, even if the Agency or any of its directors, officers, employees, agents, representatives, licensors or suppliers is advised in advance of the possibility of such losses or damages, including but not limited to: (a) any loss of present or prospective profits, or (b) any loss or damage arising where the relevant financial instrument is not the subject of a particular credit rating assigned by the Agency.

To the extent permitted by law, the Agency and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability for any direct or compensatory losses or damages caused to any person or entity, including but not limited to by any negligence (but excluding fraud, willful misconduct or any other type of liability that, for the avoidance of doubt, by law cannot be excluded) on the part of, or any contingency within or beyond the control of, the Agency or any of its directors, officers, employees, agents, representatives, licensors or suppliers, arising from or in connection with the information contained herein or the use of or inability to use any such information.

NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY, OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY THE AGENCY IN ANY FORM OR MANNER WHATSOEVER.

A credit rating is not a recommendation to purchase, sell, or hold securities and does not comment on market price, market liquidity, or investor suitability for any specific security. The Agency issues credit ratings and publishes Publications with the expectation and understanding that each investor will make its own study and evaluation of each security it considers purchasing, holding, or selling, and each investor should so inform themselves using the means and advisors it considers necessary and appropriate.

The Agency's credit ratings, assessments, other opinions and Publications are not intended for use by retail investors, and it would be reckless and inappropriate for retail investors to use the Agency's credit ratings, assessments, other opinions or Publications when making an investment decision. If in doubt, an investor should contact its financial or other professional adviser.

This Publication does not announce a credit rating action. For any credit ratings referenced in this Publication, please see the issuer/entity page for the most updated credit rating action information and the rating history. The Agency's ratings, Publications and analyses referenced herein are not intended for and must not be provided to retail investors and it would be reckless for retail investors to consider the Agency's ratings, Publications or analyses in making any investment decision.

This Publication has not been submitted to, nor received approval from, the U.S. Securities and Exchange Commission or any other regulatory body for any purpose whatsoever. The Agency's opinions and analyses do not address the suitability of any security for a particular investor and should not be relied upon for any particular use, including tax, legal, insurance or accounting purposes.

The Agency maintains policies and procedures to address the independence of its rating processes and rating methodologies. Certain affiliates of Moody's Investors Service may have provided other services to the entities or their related third parties named in this Publication within the two years preceding the related credit rating action. All such relationships and the policies and procedures used to manage any conflict of interest arising from them are disclosed on the Agency's public website.

For jurisdictions where the Agency has been registered as a credit rating agency with a local regulator, this Publication is not deemed a credit rating action for purposes of that jurisdiction's applicable laws and regulations unless expressly stated otherwise on the face of this Publication.

Moody's Investors Service hereby discloses that most obligors of corporate securities rated by it have, prior to assignment of any rating, agreed to pay the Agency for rating opinions and services rendered by it fees ranging from a fixed amount to a fixed maximum. Fee arrangements applicable to any particular rating are disclosed to the issuer at the time a rating engagement is accepted, and are separate from, and do not affect, the substance of the credit opinion itself.

All Publications are protected by copyright and other intellectual property laws. No part of this Publication may be reproduced, redistributed, retransmitted, disseminated, sold, resold, further transmitted, further distributed, repackaged, or resold for any purpose, in whole or in part, in any form or manner or by any means whatsoever, by any person without the Agency's prior written consent.

The credit ratings, financial reporting analysis, projections, and other observations, if any, constituting part of the information contained herein are, and must be construed solely as, statements of opinion and not statements of fact or recommendations to purchase, sell, or hold any securities. Each user of the information contained herein must make its own study and evaluation prior to making any investment decision, and none of the Agency's opinions or publications comment on the adequacy of market price, the suitability of any security for a particular investor, or the tax-exempt nature or taxability of payments made in respect of any security.

The Agency issues its credit ratings and other opinions using scales and definitions that are not, and are not intended to be, directly comparable across different rating categories issued by different credit rating agencies. A rating symbol used by the Agency has the meaning assigned to it in the Agency's own published rating definitions and symbol glossary, and must not be assumed to correspond to a similarly-styled symbol published by any other credit rating agency without first consulting each agency's own published mapping, if any.

To the extent this Publication references or summarizes ratings, opinions, or analyses published by a different credit

rating agency, such references are provided for informational purposes only and are attributed to that other agency by name. The Agency accepts no responsibility for the accuracy, completeness, or currency of any other agency's own published rating action, which the reader should obtain directly from that other agency's own published materials. Ratings assigned on a national scale are relative rankings of creditworthiness among issuers and obligations within a single country and are not, and should not be construed as, a global scale rating. This Publication does not carry a national-scale rating; every symbol referenced in it is a global-scale symbol as the Agency's own published definitions define that term.

Nothing in this Publication constitutes a waiver by the Agency of any privileges, immunities, or defenses to which it may otherwise be entitled under applicable law. Any dispute arising from or relating to this Publication shall be governed by the laws of the jurisdiction in which the relevant Agency entity issuing this Publication is organized, without regard to conflict-of-laws principles, and the Agency and the reader each irrevocably submit to the exclusive jurisdiction of the courts located there for any such dispute.

Moody's Investors Service contacts

Renee Taylor — Lead Analyst, Moody's Investors Service
Virginia Miranda — Backup Analyst / Senior Vice President, Moody's Investors Service
Client Service: 1-212-553-1653 (New York) / 44-20-7772-5454 (London) - Moody's Investors Service, Leveraged Finance Corporate Ratings Group.